

BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

We have diligently overseen and reviewed Related Party Transactions to ensure that they met the highest standards of transparency, fairness, and compliance. Our commitment to maintaining robust governance practices continues to safeguard the integrity of our financial reporting and uphold the trust of our stakeholders

PURPOSE OF THE COMMITTEE

The Board Related Party Transactions Review Committee is required to ensure that the interests of shareholders as a whole are taken into account by the Company when entering into related party transactions



Ms. Ashwini Natesan
Chairperson
- Board Related Party Transactions
Review Committee Report

COMPOSITION OF THE COMMITTEE

BOARD MEMBER	BOARD STATUS
Ms. Ashwini Natesan	Independent Non-Executive Director
Mr. Ashane Jayasekara	Senior Independent Non-Executive Director
Mr. Dharmadasa Rangalle	Non-Executive Director

COMMITTEE MEETINGS

The Board Related Party Transactions Review Committee ('BRPTRC' and 'the Committee') The Committee convened seven (7) meetings during the year under review complying with the regulatory requirements. Details regarding the attendance of Committee members are stated on page 174. Executive Director, Chief Financial Officer, Compliance Officer, National Manager – Finance and Assistant Company Secretary attended the meetings by invitation. Company Secretaries functioned as the Secretary to the Committee. Proceedings of the Committee were reported to the Board. The recommendations made by the Committee during the year under review were duly approved by the Board.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The Committee was established by the Board on 22nd September 2015 in accordance with Section 9 of the Listing Rules of the Colombo Stock Exchange to ensure compliance with those Rules thereby enhancing the Company's internal control mechanism.

FUNCTIONS

Scope of the Committee includes:

- To manage relationships with related parties to uphold good governance and the best interests of the Company

- To provide an independent review, approval and oversight of Related Party Transactions (RPTs) (except those expressly exempted by the Charter) on terms set forth in greater detail in the Policy
- To review the Charter and Policy annually and recommend amendments to the Charter and the Policy to the Board as and when determined to be appropriate by the Committee.
- Determining whether RPTs that are to be entered into by the Company require the approval of the Board or Shareholders of the Company;
- Establishing guidelines in respect of Recurrent RPTs, for senior management to follow in its ongoing dealings with the relevant related party
- Ensuring that no Director of the Company shall participate in any decision-making process of a proposed Related Party Transaction for which he or she is a related party. Such Director may be requested to participate in relevant discussions by the Committee for the express purpose of providing information concerning the Related Party Transaction to the Committee
- Ensuring that immediate market disclosures and disclosures in the Annual Report as required by the applicable rules/ regulations are made in a timely and detailed manner

ACTIVITIES DURING THE YEAR

- In accordance with the Related Party Transactions Policy of the Company as was applicable at the commencement of the year, all Non-recurrent RPTs were placed before the Committee for prior review and recommendations, whereas all Recurrent RPTs were entered into by the Company as per the guidelines issued by the Committee on such transactions and reported to the Committee by the Chief Financial Officer (CFO) every quarter / month. Such reports were reviewed by the Committee and they covered all RPTs entered into by the Company during the preceding quarter / month (as applicable) and the Related Parties / Entities as at the end of relevant quarter / month along with Affirmative Statements by the CFO re-assuring that all recurrent transactions entered into during the quarter were those, which have been entered into as per the applicable guidelines on an arms-length basis where no favourable terms have been offered to related parties.
- The Committee reviewed four Non-recurrent RPTs during the year under review, made recommendations and communicated its observations to the Board. Neither of the said non-recurrent RPTs exceeded the threshold for immediate disclosure to the Colombo Stock Exchange as per the Listing Rules.
- The Committee revisited the guidelines for recurrent transactions in line with the provisions of the Finance Business Act (FBA) Direction No. 5 of 2021 on Corporate Governance and

recommended changes to the RPT Policy arising therefrom, which were adopted by the Board.

- In strict compliance with Direction No.12.1(b) of FBA Direction No.5 of 2021, which requires all RPTs to be subject to prior review and recommendation of the BRPTRC, the Committee Recommended that necessary system changes as needed be brought in, to be in conformity with the said provisions and initiated a robust approval process, for all Recurrent RPTs too to be placed before the Committee for prior review and recommendations.
- The Committee reviewed the RPT Charter / Policy during the year under review and recommended amendments to the RPT Policy as aforesaid, which were adopted by the Board.

In addition to the scheduled BRPTRC meetings adhoc meetings as necessary were held to ensure review of RPTs as and when required.

POLICIES AND PROCEDURES

- The BRPTRC operates within the Charter of the Committee as approved by the Board of Directors. It includes a RPT Policy whereby the categories of persons/entities who shall be considered as 'related parties' have been identified.
- In accordance with the RPT Policy, Directors are required to make and have made self-declarations for the purpose of identifying parties related to them and wherever such declarations are made, they are minuted by the Company Secretaries. The Company Secretaries communicate any changes in the Related Parties to the officer responsible for collation of information on related parties.
- The Company uses a RPT System that enables the Company to retrieve data on RPTs throughout the Company's network. Based on the information as disclosed by the Directors and communicated by the Company Secretaries to the relevant officer, the database of related parties maintained in the RPT System is continuously updated and whenever, a RPT of a recurrent nature is to be initiated, the

RPT System generates a communication to the BRPTRC members seeking its prior review and recommendations and the transaction is closed only upon receipt of such recommendations from the Committee. Moreover, the system automatically generates a comprehensive report every quarter/month for Management's review, which is also tabled at BRPTRC meetings and where necessary, at Board Meetings. The said report reflects all types of transactions with related parties including general payments, creditors, debtors, savings, fixed deposits and lending.

- In its review of RPTs, BRPTRC considers the terms and conditions of the RPT, value, and the aggregate value of transactions with the said related party during the financial year, comparison with market pricing etc. in order to determine whether they are carried out on an arm's length basis, the disclosure requirements as per the Listing Rules of the Colombo Stock Exchange and the level of approval required for the respective RPTs are complied with.
- The BRPTRC ensures that all transactions with related parties are in the best interests of all stakeholders, with adequate transparency in processes and are following the Listing Rules and the relevant Directions as applicable to Licensed Finance Companies. The Committee has established guidelines and stringent oversight and compliance procedures in respect of Recurrent RPTs to be followed by the Management of the Company, as per the requirements of the said Direction No. 5 of 2021.
- Reviewing and approval of RPTs are either at a meeting of a majority of the members who form the quorum or by circulation, approved by all the members.

RELATED PARTY TRANSACTIONS/ DISCLOSURES DURING THE YEAR.

1. Information on all related parties, as extracted at the end of each quarter / month, was presented to the BRPTRC and where necessary, to the Board at their meetings held in the immediately following month.

2. All Directors made disclosures of any transactions entered/to be entered into by the respective Directors and/ or any related parties of the said Director, which were minuted by the Company Secretaries. Additionally, if any Director assumes office as a Director of any company, the Director concerned makes a disclosure to the Board which is then captured by the Company Secretaries and passed on to the officer concerned.
3. The value of non-recurrent RPTs during the year was below the threshold for immediate disclosure in terms of the applicable Listing Rules or disclosure in the Annual Report as per Rule 9.14.8 (1) of the Listing Rules.
4. The aggregate value of recurrent RPT entered into during the year was below the threshold for disclosure in the Annual Report as per Rule 9.14.8(2) of the Listing Rules.
5. The aggregate value of all RPTs during the year is disclosed in Note 3.1 to the Financial Statements in terms of LKAS 24 – Related Party Disclosures.

DECLARATION

A declaration by the Board of Directors as an affirmative statement of compliance with the Listing Rules on related party transactions is given on page 183 of the Annual Report.



Ashwini Natesan
Chairperson
Board Related Party Transactions Review Committee

27 May 2024